HFDC Education Loan – Master Product Program Document

Version: 1.0
Effective Date: Draft
Jurisdictional Assumption: India (adapt for other geographies)
Audience: Product, Credit/Risk, Operations, Legal/Compliance, Treasury/Finance, Collections, IT/Data, Partnerships (Universities/Ed-tech), CSR/ESG

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1) Product Overview

Product Name: HFDC Education Loan (Student Lending – Domestic & Overseas)
Purpose: Financing **tuition, living expenses, travel, books/equipment, caution deposits**, and **exam/test fees** for eligible **higher-education** courses in India or overseas.
Borrower Profile: Students (major/minor with co-borrower/guardian), working professionals (upskilling), and parents as co-applicants/guarantors.

Core Value Proposition

- **End-to-end digital** journey (eKYC, eSign, eNACH, digi-locker pulls where applicable).
- **Moratorium & grace periods** aligned to course duration + job search time.
- **Risk-based pricing** with university/course prioritization (tiering).
- **Transparent disbursals**—direct to institute/accommodation; multi-tranche as per fee schedule.
- **Scholarship/assistantship** & **co-funding** friendly (adjusts disbursals).
- **Optional add-ons:** Student health insurance, travel, device financing, forex remittance assistance, credit card with training limits.

In-Scope Courses (Illustrative)

- Graduate/Post-Graduate/Doctoral programs in recognized universities/colleges.
- Professional programs (Engineering, Medicine, Management, Law, Architecture).
- Overseas degree programs (UG/PG), select diploma/certifications with strong placement.
- Executive education and upskilling programs from accredited bodies (policy-driven).

Out-of-Scope

- Unaccredited institutions, short bootcamps without recognition or job outcomes, purely recreational courses, institutions on negative list.

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2) Product Variants

1. **EL-Domestic (India) – Term Loan**
    - Tuition + living expenses + exam fees + equipment.
    - Tenure up to 12–15 years (including moratorium).
2. **EL-Global (Overseas) – Term Loan**
    - Tuition/living/travel/Visa/SEVIS/insurance.
    - Tenure up to 15 years (incl. moratorium).
    - **Forex remittance workflow** integrated; fee paid directly to university.
3. **EL-Prime (Top-Tier Institutions)**
    - Preferential pricing & higher unsecured cap; shorter processing TAT.
4. **EL-CoLL (Collateralized Education Loan)**
    - Secured by residential property (equitable/legal mortgage), FD, government securities, or acceptable collateral.
    - Higher ticket/higher tenure; lower rates.
5. **EL-Skills (Professional/Executive & Upskilling)**
    - Shorter tenures (3–7 years), partial moratorium, tighter course accreditation criteria.
6. **EL-Bridge (Short-Term Pre-Admission/Pre-Visa)**
    - Small line for application fees, tests (GRE/GMAT/IELTS), deposits; converts to EL-Global post admission/visa.

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3) Key Parameters (Illustrative Ranges)

Parameter	EL-Domestic	EL-Global	EL-Prime (Top-Tier)	EL-CoLL (Secured)	EL-Skills
Loan Amount	₹1L – ₹40L	₹2L – ₹80L	Up to ₹80L	Up to ₹1.5Cr	₹50k – ₹15L
Tenure (incl. moratorium)	5–15 yrs	7–15 yrs	7–15 yrs	10–15 yrs	3–7 yrs
Moratorium	Course + 6–12 mo	Course + 6–12 mo	Course + 12 mo	Course + 12 mo	0–6 mo
Security	Unsecured/Collateral optional	Unsecured/Collateral optional	Mostly unsecured	Mortgage/FD/Securities	Unsecured
COA Coverage	Up to 100% of **Cost of Attendance** less scholarships	Same	Same	Same	Up to 80–100%
Interest (p.a.)	9.5% – 14.5%	10.0% – 15.5%	8.75% – 12.5%	8.50% – 11.5%	10.5% – 16.5%
Processing Fee	0.5% – 1.0%	0.75% – 1.5%	0.25% – 0.75%	0.25% – 1.0%	0.5% – 1.5%

Definitions

- **COA (Cost of Attendance):** Tuition + living (rent/food/local transport) + books/equipment + exam/test fees + insurance + travel (one/two return trips) + visa/I-20/SEVIS where applicable + caution deposits (refundable).
- **Eligible Amount:** COA – Scholarships/assistantships – family contribution (if any) subject to caps and LTV/credit criteria.

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4) Eligibility & Demographics

Borrowers

- Student (primary) + **co-applicant** (parent/guardian/spouse). For minors, guardian executes; student ratifies upon majority.
- Working professionals applying for upskilling can be primary borrowers (co-app optional per risk).

Age

- Student: 16–35 (program dependent).
- Co-applicant: 21–65 at loan maturity (as per income type).

Academic Criteria (Illustrative)

- Confirmed **admission letter** or conditional offer from recognized/accredited institution.
- Minimum academic performance threshold (e.g., ≥50–60% in qualifying exams) or test scores for overseas (GRE/GMAT/SAT/IELTS/TOEFL), with program-wise grids.
- For EL-Prime, institution/course must appear on HFDC **Tier List** (updated quarterly).

Income & Co-Applicant Capacity

- Salaried co-app: Min NMI ₹25k–₹50k; 6–12 months in current job; FOIR norms apply.
- Self-employed co-app: 2 years business vintage; ITR/GST; banking surrogates accepted.
- If **collateralized**, co-app income can be relaxed per policy.

Credit Behaviour

- Bureau: Student thin-file acceptable; co-app ≥675–700 preferred. No recent serious delinquencies/settlements.

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5) Documentation (Checklists)

KYC (Student & Co-Applicant)

- PAN (where required), OVD (Aadhaar—voluntary/Passport/DL/Voter ID), photos, email/mobile verification.
- Overseas: Passport, visa (post-sanction may be PDD), I-20/Offer letter, SEVIS/DS-160 receipts (as applicable).

Academic/Admission

- Admission letter/offer, fee schedule, university brochure/website print (COA details), scholarship/assistantship letters, entrance exam scores, past mark-sheets/degree certificates.

Financial

- Co-applicant income: Salary slips (3–6 months) & bank statements; Form-16/ITR.
- Self-employed: ITR 2 years + audited financials + GST returns + bank statements (6–12 months).
- Net-worth statement (for high tickets), family contribution proof.

Collateral (if EL-CoLL)

- Property papers (title chain, tax receipts, EC, sanctioned plan), valuation & legal opinion; or FD lien letter, NSC/KVP/LIC surrender value statement.

Other

- eNACH/eMandate setup, consent forms (bureau, bank statement analyzer), **Key Facts Statement (KFS)**, loan agreement with **moratorium/interest servicing** clauses.
- For overseas: Remittance form (A2 or equivalent), insurance cover note (student health/travel if bundled).

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6) Credit Policy & Underwriting

Risk Segmentation

- **Prime:** Top-tier institution/course; strong co-applicant profile; collateral optional.
- **Standard:** Recognized programs with average placement; moderate co-app income.
- **Selective:** New/unranked programs, higher COA; prefer collateral or higher equity.

Assessment Dimensions

1. **Academics & Employability**
    - Institution & program ranking, accreditation, historic placement records, location/job market, internship opportunities.

    - For EL-Skills: Verified industry relevance; employer sponsorship/LoI if any.
2. **Financial Capacity**
    - Co-applicant income and FOIR/DBR.
    - Family savings and **equity contribution**.
    - For secured loans, collateral value and legal/technical clearances.
3. **Loan Structure**
    - **Moratorium**: Course period + 6–12 months grace.
    - **Interest servicing options:**
        - **Full interest during moratorium** (best pricing).
        - **Part interest** or **interest capitalization** (higher pricing).
    - Step-up EMIs post-moratorium.
4. **Exposure Caps (Illustrative)**
    - Unsecured domestic: up to ₹20–30L.
    - Unsecured overseas: up to ₹40–50L for prime programs.
    - Secured (property): up to ₹1.5Cr subject to LTV of collateral (e.g., 65–75%).
    - Aggregate exposure per borrower/co-borrower caps.
5. **Exceptions**
    - Only via documented **override matrix** with senior credit approval and justification (e.g., extraordinary scholarships, employer sponsorship).

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7) Cost of Attendance (COA) Construction

COA Items (Illustrative & Auditable)

- **Tuition & fees** (as per fee schedule)
- **Living expenses** (rent/food/utilities) – city-wise caps with **per-month** ceilings
- **Books/Equipment/Laptop** – slab limits (e.g., ₹50k–₹1.5L)
- **Insurance** (health/travel/student)
- **Travel** (one/two round trips economy)

- **Visa/SEVIS/I-20 charges**, exam fees, application fees (EL-Bridge)
- **Caution deposits** (refundable—treated carefully in drawdowns)

Controls

- Validate against institute COA or public website; apply **caps** where inflated.
- If scholarship/assistantship is awarded, **net off** and reduce disbursement.
- Currency & FX buffer (for overseas) with **Treasury rate** & volatility guardrails.

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8) Pricing, Fees & Discounts (Illustrative)

- **Interest Rate Bands**
  - Prime programs + interest-serviced during moratorium: **lowest spread**.
  - Capitalized interest during moratorium: +50–150 bps premium.
  - Unsecured overseas with average programs: higher spread.
  - Secured (property/FD): discounted spread.
- **Processing Fee:** 0.25–1.50% (caps/minima apply).
- **Penal/Overdue Interest:** 2% p.m. on overdue amounts (policy-capped).
- **Prepayment/Foreclosure:** Nil/nominal for individuals; charges may apply if fixed-rate or if subvention/discount availed (with claw-back terms).
- **Other Charges:** Revalidation of sanction, reissuance of SOA, remittance charges at actuals, conversion/switch fee (fixed↔floating).

Transparency

- Publish **Tariff Card**; issue **KFS** with APR, moratorium rules, and all fees.

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9) Disbursement & Remittance Workflow

Sanction Validity: Typically 90–180 days; revalidation if course timelines shift.

Pre-Disbursal Conditions (PDCs)

- Acceptance of offer, signed agreement & KFS, eNACH; visa approval (overseas), insurance cover note (if bundled), collateral perfection (for EL-CoLL), final fee schedule, proof of scholarship (if any).

Disbursement Modes

- **Direct to Institute** (preferred): RTGS/SWIFT per invoice/semester schedule.
- **Living Expenses**: To student/blocked account/forex card per policy; periodic tranches against bonafide proofs (e.g., rent agreement).
- **Equipment/Laptop**: Against invoice with limits.
- **Caution Deposits**: Paid as per institute policy; refund must be assigned to HFDC until closure.

Remittance (Overseas)

- Documentation: Admission letter, fee invoice, passport, visa (or conditional), remittance form, university bank details (SWIFT/IBAN), purpose code.
- **FX Handling**: Treasury rate; wiring charges disclosed; **cut-off times**; duplicate payment prevention.

Post-Disbursal Documents (PDD)

- Enrollment confirmation/Bonafide certificate, attendance/grade report (periodic), visa copy (if pending at sanction), updated insurance policy, hostel/lease documents (if used for living disbursements).

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10) Servicing During Moratorium & After

During Course/Moratorium

- Interest servicing choice: **Full interest / Part interest / Capitalize**.
- Automated monthly interest invoices for servicing customers.
- **Progress monitoring**: Semester results, enrollment confirmation, alerts for dropouts/deferrals.
- **Change events**: Course deferral, university change, country change—require re-underwriting/re-sanction.

Post-Moratorium (Repayment Phase)

- Convert to EMI based on outstanding principal + capitalized interest.
- **Step-Up EMI** option (lower EMI in year-1 rising thereafter).
- **Rate resets** per product (floating/benchmark + spread); transparent notifications.

Customer Self-Service

- Part-prepayment, SOA download, interest certificate (tax), address/mobile updates, co-app change (where permissible), course status updates.

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11) Collections & Hardship Management

Buckets & Strategy

- **1–30 DPD:** Digital nudges, reminder calls, payment links; contact both student & co-applicant.
- **31–60 DPD:** Resolution desk; promise-to-pay capture; short payment plans.
- **61–90 DPD:** Field engagement; hardship evaluation; **temporary relief** (e.g., 1–3 month interest-only) per policy.
- **90+ DPD (NPA):** Restructure as per rules for genuine cases (reported to bureaus), or legal recovery where required.

Special Programs

- **Grace extensions** around graduation/job search windows in stressed geographies or industry cycles (policy-driven).
- **Co-applicant step-in** payments; auto-sweep from co-app mandate (if consented).

Conduct

- Student-first, respectful communications; no harassment; documented time-band rules; multilingual templates.

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12) Legal & Regulatory (Indicative, India-centric)

- **KYC/AML:** As per applicable Master Directions; enhanced due diligence for overseas remittances; periodic KYC refresh.
- **Fair Practices & KFS:** Provide **KFS** with APR, moratorium handling, prepayment rules; publish rate benchmark & spread logic.
- **Data Privacy:** Explicit consent for bureau pulls, bank statement analysis, academic data verification; purpose limitation & retention.
- **Collateral Perfection:** For EL-CoLL, mortgage/FD lien creation (CERSAI where applicable), insurance (property, if collateralized).
- **Overseas Remittances:** Purpose code documentation; ensure sanctioned list screening for beneficiary accounts; comply with foreign exchange rules.

- **Bureau Reporting:** Accurate & prompt; rectifications within SLA.
- **Grievance Redressal:** Publish escalation matrix and TAT; student-friendly policy.

Action: Legal maintains **country-wise** addendum for remittance norms, visa-linked conditions, and institution recognition standards.

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13) Risk, EWS & Fraud Controls

Scenario	Red Flags	Mitigation
Fake admission/offer letters	Email domain mismatch, fee schedule anomalies	Direct university verification/portal check; email to official addresses
Inflated COA	Living costs above city caps	City-wise caps; documentary proofs; random audits
Visa refusal/deferral	Multiple attempts, late communication	Sanction with conditions; staged disbursals; re-underwrite post visa
Phantom attendance/dropout	No semester results	Mandatory semester bonafide; block living disbursals; call-outs
Co-app income misreporting	Salary vs bank mismatch	HR verification; bank analyzer; ITR checks
Misuse of living funds	Cash withdrawals uncorrelated with rent/food	Tranche-based release; require rent/lease proofs; merchant payouts where possible

Portfolio EWS

- Rising 1–30 DPD on specific institution/cohort/geography, job market deterioration signals, sudden currency shocks (overseas), abrupt fee hikes.

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14) Finance, Accounting & Capital

- **Income Recognition:** EIR method; fees amortized.
- **Moratorium Accounting:** Interest accrues; capitalize per contract or bill monthly if serviced; disclose clearly in KFS.

- **Provisioning:** ECL with overlays for macro risks (employment market, FX); cohort-level PD/LGD.
- **NPA:** 90+ DPD; income on NPAs on cash basis as per policy/regulation.
- **FX Risk (Overseas):** Pricing buffer for currency risk; no direct FX open positions unless hedged by Treasury (policy-driven).
- **Securitization/Assignment:** Post-repayment seasoning pools; student-loan specific covenants.

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15) IT, Data & Analytics

- **LOS/LMS**: API-first with eKYC, bureau, bank analyzer, eSign, eNACH, DMS, payment gateway, FX/remittance integration, CERSAI (for collateral), consent registry.
- **Data Model (Core):** Student & co-app KYC, academics (scores, institution, program), fee schedule, COA items, scholarship/assistantship, sanction terms, disbursement plan, remittance records, moratorium choice, repayment ledger, restructures, EWS triggers.
- **Dashboards:** Funnel conversion, TAT, cohort-wise delinquency, institution scorecards, moratorium vs non-moratorium performance, FX sensitivity, disbursement adherence to fee calendars.
- **Security & Privacy:** Encryption at rest/in transit; role-based access; audit logs; data minimization.

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16) Partnerships & Channel Programs

- **Universities/Colleges:** MoUs for direct fee disbursal, faster verification, preferred student pricing, campus outreach.
- **Ed-tech & Test-Prep:** EL-Skills co-branded programs for accredited courses; refund/withdrawal clauses to mitigate risk.
- **Overseas Facilitators/Forex Partners:** Remittance SLAs, student insurance bundles, pre-departure support.
- **CSR/Scholarship Tie-ins:** Partial interest subsidy or grant-linked programs for low-income students.

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17) Customer Instructions – "How to Get an Education Loan"

1. **Check eligibility** on HFDC app/website; estimate COA & EMI with calculators.
2. **Apply**: Upload KYC, academic records, admission/offer letter, fee schedule, and co-applicant income docs.
3. **Get sanction** with your **KFS**—it shows rate, fees, moratorium, and repayment plan.
4. **Complete PDCs**: eSign/eNACH; visa (for overseas); collateral (if any); insurance (optional/required for travel).
5. **Disbursements**: We pay the **university directly** by semester; living expenses released in tranches to your account/forex card as per policy.
6. **During study**: Submit semester results/bonafide; if you chose interest-servicing, pay monthly interest.
7. **After graduation**: Start EMIs post grace period; you can part-prepay any time (per policy).
8. **Close loan**: On full repayment, collect NOC and ensure closure is updated at credit bureaus.

Quick Documents

- KYC (student + co-app), admission/offer letter, fee schedule/COA, mark-sheets, test scores, co-app income proofs, scholarship letters (if any), eNACH, consent forms.
- Overseas: Passport, visa (when available), remittance form, university bank details.

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18) Example Calculations (Illustrative)

A) EL-Global (Unsecured)

- **COA (2-year MSc):** Tuition ₹28L + Living ₹12L + Insurance/Travel/Fees ₹3L = **₹43L**
- **Scholarship:** ₹8L ⇒ **Net Need = ₹35L**
- **Sanction:** ₹35L; **Moratorium:** Course + 6 months; **Rate:** 11.5% p.a. (floating)
- **Interest During Moratorium:** Capitalized (approx; depends on disbursement schedule).
- **Repayment Tenure:** 10 years

- **EMI (rough):** On post-moratorium principal; for illustration assume ₹35L fully disbursed early ⇒ EMI ≈ ₹48,450 (depends on exact timing/compounding—actual LOS will produce precise schedule).

B) EL-Domestic (Secured)

- **COA (MBA):** ₹18L total; Family contribution ₹3L ⇒ **Loan ₹15L**
- **Rate:** 9.25% (secured); **Tenure:** 12 years; **Moratorium:** 2 years (course + 6 months) with **interest servicing monthly**
- **Post-moratorium EMI:** ≈ ₹17,011 (illustrative; exacts depend on rests/fees).

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19) Operations, Controls & SLAs

Maker–Checker–Approver

- **Maker:** Sales/Ops – application capture, KYC, COA builder.
- **Checker:** Ops QA – documentation completeness, dedupe, fraud checks.
- **Approver:** Credit – decisioning, exceptions, pricing.
- **Disburser:** Central Ops – PDC verification, remittance controls.
- **PDD Desk:** Tracks visa copy, enrollment proofs, semester confirmations.

Key Controls

- **Dedupe & Negative lists** (institutions & agents).
- **Verification** with institution (admission/fee) via official channels.
- **Remittance checker**: Beneficiary account validation; purpose code; sanctions screening.
- **Tranche discipline:** Disburse only against due invoices; living tranches per cadence & proofs.
- **Collateral custody:** For EL-CoLL, title & lien perfection, CERSAI update, insurance.
- **Data privacy** & consent registry; academic records used strictly for underwriting/monitoring.

SLAs (Illustrative)

- Sanction TAT: 24–72 hrs post complete docs.
- Remittance TAT: T+1–T+3 (international) post compliance checks.

- PDD closure (visa/enrollment): 30–60 days.
- Statement/Certificates: Instant via app/portal.
- NOC: T+7 business days post closure.

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20) Training, Audit & Governance

- **Training:** COA construction, moratorium mechanics, overseas remittance workflow, fair-treatment of students, data privacy, fraud red flags.
- **Audit:** Periodic review of disbursement vs fee schedules, living-expense proofs, remittance documentation, institution verification trails, collateral perfection.
- **Governance:** Annual Board re-approval; quarterly policy refresh (institution tiers, city caps, FX buffers).

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21) Templates (Operational Extracts)

A) KFS – Key Fields

- Loan amount, rate (benchmark + spread), APR, fees, moratorium choice, capitalization rules, tenure, EMI start date, prepayment rules, grievance contacts.

B) COA Builder – Required Fields

- Tuition per term, living per month × months, books/equipment, travel, insurance, visa/test fees, deposits; scholarship/assistantship amounts; exchange rate used and date.

C) Disbursement Instruction

- Beneficiary name, account/SWIFT/IBAN, university address, invoice reference, purpose code, amount in FCY + INR equivalent, FX rate & date, student ID.

D) PDD Checklist

- Visa copy, enrollment letter/bonafide, insurance policy, hostel lease (if used for living disbursal), semester grade/attendance proof.

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22) Risk-Based Pricing Grid (Illustrative)

Tier	Institution Category	Co-App Bureau	Security	Moratorium Mode	Spread (over HRLR)
A+	Top-tier global/IIM/IIT/AIIMS/INIs	≥760	Unsecured	Full interest serviced	+1.60%
A	Recognized tier-1 programs	≥720	Unsecured/FD	Part interest	+2.10%
B	Good tier-2	≥680	Unsecured	Capitalize interest	+2.90%
C	Select tier-3 or new programs	≥650	Collateralized	Capitalize	+3.40%

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23) Glossary

- **COA:** Cost of Attendance.
- **Moratorium:** Period of deferred principal (and possibly interest) payments.
- **Capitalization:** Unpaid interest added to principal.
- **KFS/MITC:** Key Facts Statement / Most Important Terms & Conditions.
- **CERSAI:** Central Registry of Securitisation Asset Reconstruction and Security Interest (for collateral).
- **EWS:** Early Warning Signals.